

The Code on Wages, 2019

CONCEPT NOTES



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Chapter I: Preliminary**Chapter II: Minimum Wages****Chapter III: Payment of Wages****Chapter IV: Payment of Bonus****Chapter V: Advisory Board****Chapter VI: Payment of Dues, Claims and Audit****Chapter VII: Inspector-cum-Facilitator****Chapter VIII: Offences and Penalties****Chapter IX: Miscellaneous**

The Code on Wages 2019 has been divided into Nine chapters covering all important provisions and aspects of the Code.

1 History

Background and Rationale

The Code of Wages 2019 represents a significant milestone in Indian labor law, aiming to simplify and modernize the legal framework regarding wages and compensation for workers across all sectors. It consolidates four pre-existing labor laws into a single, comprehensive code.

Objectives and Scope

The primary objective of the Code of Wages 2019 is to ensure equitable remuneration for workers while simplifying compliance for employers. It extends to all employees in both organized and unorganized sectors, demonstrating a broad scope intended to foster inclusivity and fairness in the labor market.

Global Scenario

Comparative Analysis with International Standards: Globally, the approach to wage regulation varies significantly, with some countries emphasizing minimum wage laws and others focusing on collective bargaining agreements. The Code of Wages 2019 aligns India more closely with international labor standards, promoting transparency and accountability in wage management.



Impact on Global Competitiveness: By standardizing wage-related laws, India aims to enhance its attractiveness as a destination for investment, projecting stability and reliability in labor relations and cost structures to the international business community.

Indian Scenario

Historical Context: Prior to the enactment of the Code of Wages, Indian labor legislation was fragmented across numerous laws and regulations, creating complexity and compliance challenges. The historical evolution towards the Code reflects a growing recognition of the need for consolidation and modernization.

Key Provisions and Innovations:

Minimum Wages: The Code introduces a universal minimum wage applicable across India, replacing the previous region-specific minimum wages.

Payment of Wages: It mandates the payment of wages in a timely and transparent manner, with provisions for digital payment.

Equal Remuneration: The Code emphasizes equal pay for equal work, irrespective of gender.

Inspection and Enforcement: A streamlined and technology-driven enforcement mechanism is envisaged to ensure compliance and protect workers' rights.

Conclusion and Way Forward

Achievements and Challenges: The Code of Wages 2019 is a landmark reform that promises to bring about greater equity and simplicity in the labor market. However, its implementation poses challenges, particularly in ensuring awareness and compliance across India's vast and diverse economic landscape.

Future Prospects: Looking ahead, the successful implementation of the Code requires concerted efforts from all stakeholders, including the government, employers, and workers. Continuous monitoring, feedback mechanisms, and periodic reviews will be crucial in addressing any emerging issues and ensuring that the Code remains relevant and effective in achieving its objectives.

Policy Recommendations

Awareness Campaigns: To educate employers and workers about their rights and responsibilities under the new Code.

Capacity Building: For the enforcement machinery to effectively implement the provisions of the Code.

Technology Integration: Leveraging technology to streamline compliance processes and ensure transparency in wage payments.

The Code of Wages 2019 represents a significant step forward in the evolution of labor laws in India, aiming to create a more equitable, transparent, and efficient wage system. Its success will depend on the collective efforts of the government, the private sector, and civil society to embrace the reforms and work towards their effective implementation.

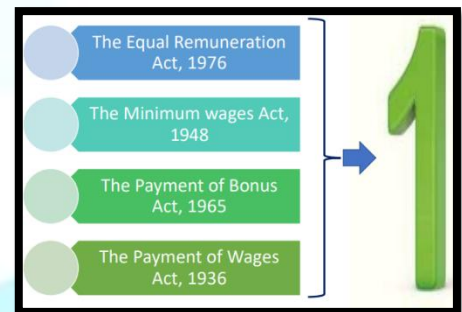
2 Objective

- An Act to **amend** and **consolidate the laws** relating to **wages** and **bonus** and matters connected with it or incidental to it

3 Acts Subsumed under Code on Wages, 2019

- The Payment of Wages Act, 1936
- The Minimum wages Act, 1948
- The Payment of Bonus Act, 1965
- The Equal Remuneration Act, 1976

Total – 4

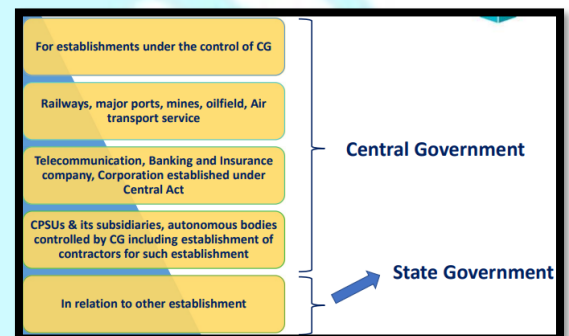


4 Section 2 – Definitions

- “**Appropriate Government**” means:

- **Central Government in relation to,**

- An establishment carried on by or under the authority of the Central Government
- Establishment of **railways, mines, oil field, major ports, air transport service, telecommunication, banking and insurance company** or a **corporation** or other authority established by a Central Act or



- A **central public sector undertaking** or **subsidiary companies** set up by central public sector undertakings
- **Autonomous bodies** owned or controlled by the Central Government, including establishment of contractors for the purposes of such establishment, corporation or other authority, **central public sector undertakings**, subsidiary companies or autonomous bodies,

- **State Government** in relation to any other establishment

- **Employee**

- Any person (except apprentice) employed on wages
- **Includes:** skilled, unskilled, managerial, technical, clerical work
- **Excludes:** Armed Forces

- **Worker**

- Person employed in industry for hire/reward
- Includes: journalists, sales promotion employees
- **Excludes:**
 - Armed forces, police, prison staff
 - Managerial/administrative roles
 - Supervisors earning > ₹15,000/month

Now lets have a quick look at the differences between Employee and Worker

Basis	Employee	Worker
Definition Scope	Broad term covering almost all employed persons	Narrow term focusing on industrial/workmen category
Nature of Work	Includes manual, technical, clerical, supervisory, managerial, administrative	Includes manual, unskilled, skilled, technical, operational, clerical, supervisory
Managerial/ Administrative Roles	Included	Excluded
Supervisory Role	Included (no restriction)	Included only up to wage limit
Wage Limit Condition	No wage limit	Excludes supervisors earning > ₹15,000/month (or notified amount)
Coverage Area	All establishments (very wide scope)	Mainly industrial and labour-oriented roles
Legal Relevance	Used in wage-related provisions (minimum wages, payment, bonus, etc.)	Used in industrial disputes & labour rights
Includes Special Categories	Any person declared as employee by government	Includes journalists & sales promotion employees
Exclusions	Armed Forces	Armed Forces, police, prison staff, managerial/admin roles, high-paid supervisors
Relationship Concept	Employer–employee relationship (hire + reward)	Employment in industry for hire or reward
Example	Manager, HR Head, Clerk, Labourer	Labourer, Clerk, Technician (not manager)

➤ Employer

- Person employing workers directly/indirectly
- **Includes:**
 - Factory occupier/manager
 - Person in control (MD/manager)
 - Contractor
 - Legal representative

➤ Establishment

- Any place where business/trade/industry is carried out
- Includes government establishments
- **Government Establishment** - Govt department or local authority office
- **Factory** - As per Factories Act, 1948

Factory means any premises including the precincts thereof

- **Where 10+ workers are employed in any part of a manufacturing process using power, on any day in the past 12 months**
- **Where 20+ workers are employed in any part of a manufacturing process without power, on any day in the past 12 months**
- **Excludes mines, armed forces mobile units, railway running sheds, hotels, restaurants, or eating places**

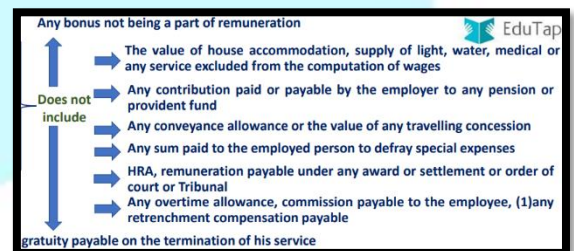
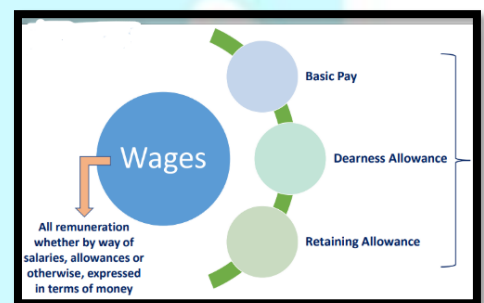
➤ **“Industrial dispute”** means:

- Any **dispute** or **difference**
 - Between **employers** and **employers**
 - Between **employers** and **workers**
 - Between **workers** and **workers** which is connected with the employment or non-employment or the terms of employment or with the conditions of labour, of any person
- Any **dispute** or **difference**
 - Between an **individual worker** and an **employer** connected with, or arising out of, discharge, dismissal, retrenchment or termination



➤ **“Wages”** means:

- All remuneration whether by way of **salaries**, **allowances** or otherwise, expressed in terms of money or capable of being so expressed and **includes**:
 - Basic pay
 - Dearness allowance
 - Retaining allowance
- **But does not include**:
 - a. Any **bonus** payable which does not form part of the remuneration payable under the terms of employment
 - b. the **value** of any **house-accommodation**, or of the **supply of light, water, medical attendance** or other amenity or of any service
 - c. any **contribution paid** by the employer to any **pension** or **provident fund**, and the interest which may have accrued thereon
 - d. any **conveyance allowance** or the **value** of any travelling concession
 - e. any sum paid to the employed person to **defray special expenses** entailed on him by the nature of his employment
 - f. **house rent allowance**
 - g. **remuneration payable** under any **award** or settlement between the parties or order of a court or Tribunal
 - h. any **overtime allowance**
 - i. any **commission** payable to the employee
 - j. any **gratuity** payable on the termination of employment
 - k. any **retrenchment compensation** or other **retirement benefit** payable to the employee or any ex gratia payment made to him on the termination of employment
- **However**, for calculating the wages,



- If payments made by the employer to the employee **under clauses (a) to (i)** exceeds **one-half (1/2)**, or such other per cent as may be notified by the Central Government, the **amount which exceeds** shall be **deemed** as **remuneration** and shall be accordingly added in wages
- **Wages in Kind** - Remuneration in kind up to 15% of total wages is included as part of wages
- **Gender Equality** - for the purpose of equal wages to all genders and for the purpose of payment of wages, the emoluments specified in clauses (d), (f), (g) and (h) shall be taken for computation of wage.

For example - Normally, the following are **excluded from wages**:

- (d) Conveyance allowance
- (f) House Rent Allowance (HRA)
- (g) Award/settlement payments
- (h) Overtime allowance

BUT... For:

1. **Equal wages to all genders**, and
2. **Payment of wages purposes**

these components will ALSO be counted while calculating wages.

Suppose a company employs: Rahul (Male) ; Priya (Female)

Both do the **same work**.

Salary Structure

Component	Rahul (Male)	Priya (Female)
Basic Pay	₹20,000	₹20,000
DA	₹5,000	₹5,000
HRA	₹8,000	₹4,000
Conveyance Allowance	₹3,000	₹1,000
Total Salary	₹36,000	₹30,000

What employer may argue?

Employer may say: "Basic + DA are same, so no discrimination."

But law says: HRA and Conveyance must ALSO be considered for equal wage comparison.

Actual Wage Comparison

Employee	Total Wage Considered
Rahul	₹36,000
Priya	₹30,000

Difference = ₹6,000

Therefore, this may amount to **gender-based wage discrimination** because both are doing same/similar work.

Why this provision exists?

Without this rule:

- Employers could keep same basic pay
- But secretly give higher allowances to one gender

The law prevents such indirect discrimination.

5 Major Highlights of the Code on Wages, 2019 (Definitions)

Area	Reform Introduced
Uniformity	Common definitions of Employee, Employer, Worker, Wages, and Appropriate Government.
Ease of Compliance	Eliminates multiple definitions across four wage-related laws.
Universal Coverage	Minimum wages extended beyond scheduled employments.
Gender Neutrality	Equal remuneration provisions extended to all genders .
Modernization	References updated from Companies Act, 1956 to Companies Act, 2013.
New Definitions Added	Contractor, Contract Labour, Establishment, and Tribunal.
Removal of Obsolete Provisions	Omission of references to repealed laws such as the Super Profits Tax Act, 1963.

5.1 Comparative analysis of Provisions under Chapter I

Definition	Repealed Acts	Code on Wages, 2019	Key Change / Significance
Accounting Year [Sec. 2(a)]	Under the Payment of Bonus Act, 1965 , different accounting years were prescribed for different employer entities.	Uniform accounting year (Financial Year: 1 April – 31 March) for all employer entities.	Standardization and simplification.
Appropriate Government [Sec. 2(d)]	Separate definitions existed under the Equal Remuneration Act, Minimum Wages Act, Payment of Wages Act, and Payment of Bonus Act .	Single uniform definition applicable for all wage-related matters under the Code.	Removes multiplicity of definitions and improves compliance.
Company [Sec. 2(e)]	Referred to the Companies Act, 1956 and expressly included certain foreign companies.	References updated to Companies Act, 2013 . Foreign companies are not specifically included.	Modernized reference; express inclusion of foreign companies omitted.
Contractor [Sec. 2(f)]	No corresponding definition.	New definition introduced.	Provides clarity regarding contractor-related employment.
Contract Labour [Sec. 2(g)]	No corresponding definition.	Defined as a worker hired by or through a contractor; includes inter-State migrant workers but excludes workers regularly employed by the	New concept introduced under the Code.

		contractor in his own establishment.	
Direct Tax [Sec. 2(j)]	Included reference to the Super Profits Tax Act, 1963 under the Payment of Bonus Act.	Reference omitted.	Removes obsolete law (repealed in 1966).
Employee [Sec. 2(k)]	Different definitions existed under different labour laws.	One uniform definition applicable for minimum wages, payment of wages, bonus, and gender-based wage equality.	Eliminates multiple definitions.
Employer [Sec. 2(l)]	Under the Minimum Wages Act, linked with scheduled employment . Different definitions existed across Acts.	Uniform definition for all purposes under the Code; reference to scheduled employment removed.	Supports universal applicability of minimum wages.
Establishment [Sec. 2(m)]	No common comprehensive definition across repealed Acts.	Means any place where industry, trade, business, manufacture, or occupation is carried on; includes Government establishments.	Broad and inclusive definition.
Factory [Sec. 2(n)]	Payment of Wages Act included places deemed factories under Section 85(1) of the Factories Act, 1948.	Limited to factory as defined under Section 2(m) of the Factories Act, 1948.	Scope narrowed by excluding deemed factories.
Government Establishment [Sec. 2(o)]	Under the Payment of Bonus Act, included government companies, statutory corporations, and RBI.	Means only offices or departments of Government or local authorities.	Government companies, statutory corporations, and RBI excluded.
Same Work or Work of a Similar Nature [Sec. 2(v)]	Equal remuneration provisions referred to " a man and a woman. "	Uses the term " any gender. "	Extends equal remuneration protection to transgender persons as well.
Tribunal [Sec. 2(x)]	No corresponding definition.	New definition introduced.	Provides clarity regarding adjudicatory authorities under the Code.

Wages [Sec. 2(y)]	Different definitions of remuneration/salary/wages existed under different labour laws.	Single uniform definition for payment of wages, minimum wages, bonus, and gender equality provisions.	Major reform aimed at consistency and ease of compliance.
Worker [Sec. 2(z)]	Different definitions existed under various labour laws.	Uniform definition covering persons employed for hire or reward; includes working journalists and sales promotion employees; excludes apprentices and specified categories.	Harmonizes worker coverage across wage-related laws.
Prohibition of Discrimination on Grounds of Gender (Sec. 3)	Equal Remuneration Act prohibited discrimination between men and women .	Prohibits discrimination on the basis of gender in wages, recruitment, and employment conditions.	Coverage extended to transgender persons .

The Code on Wages, 2019



Chapter I: Preliminary

Chapter II: Minimum Wages

Chapter III: Payment of Wages

Chapter IV: Payment of Bonus

Chapter V: Advisory Board

Chapter VI: Payment of Dues, Claims and Audit

Chapter VII: Inspector-cum-Facilitator

Chapter VIII: Offences and Penalties

Chapter IX: Miscellaneous

6 Section 3 - Prohibition of Gender Discrimination

- An employer cannot discriminate on the basis of **gender** in the payment of wages.
- Men, women, and transgender employees doing the **same work or work of a similar nature** must receive **equal wages**.
- To comply with this provision, an employer **cannot reduce the wages** of any employee.
- An employer cannot discriminate on the basis of **sex/gender** during:
 - Recruitment,
 - Selection,
 - Appointment, or
 - Conditions of employment,
- **for the same or similar work.**
- **Exception:** Different treatment is allowed only where the employment of women is **prohibited or restricted by law** for certain types of work.

7 Section 5 - Payment of minimum rate of wages

- **No employer shall pay** to any employee **wages less than the minimum rate** of wages notified by the appropriate Government

8 Section 6 - Fixation of minimum wages

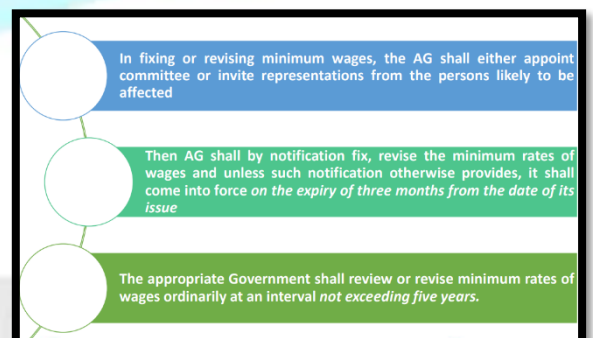
- The appropriate Government shall fix a minimum rate of wages:
 - For time work
 - For piece work
- Where employees are employed on piece work, the appropriate Government shall fix a **minimum rate of wages** for securing such employees a **minimum rate of wages** on a time work basis
- The minimum rate of wages on time work basis may be fixed in accordance with any one or more of the following wage periods, namely:
 - by the hour
 - by the day
 - by the month
- Where the rates of wages are fixed by the **hour** or by the **day** or by the **month**, the manner of calculating the wages shall be such, as may be prescribed
- For the purpose of **fixation of minimum rate of wages**, the appropriate Government:
 - Shall primarily take into account the **skill of workers** required for working under the categories of **unskilled, skilled, semi-skilled** and **highly-skilled** or geographical area or both
 - May, take into account their **arduousness of work** like temperature or humidity normally difficult to bear, hazardous occupations or processes or underground work as may be prescribed by that Government; and
 - The **norms** of such fixation of minimum rate of wages shall be such as may be prescribed
- The **number of minimum rates of wages** may, as far as possible, be kept at **minimum** by the appropriate Government

9 Section 7 - Components of minimum wages

- Any **minimum rate of wages fixed** or revised by the appropriate Government may consist of:
 - a **basic rate of wages** and an **allowance** at a rate to be adjusted, to accord as nearly as practicable with the variation in the **cost-of-living index** number applicable to such workers (here after referred to as “**cost of living allowance**”)
 - a **basic rate of wages** with or without the **cost of living allowance**, and the cash value of the concessions in respect of supplies of essential commodities at concession rates, where so authorized
 - an **all-inclusive rate** allowing for the basic rate, the cost of living allowance and the cash value of the concessions
- The **cost of living allowance** and cash value of essential commodity concessions shall be calculated by an authority appointed by the appropriate Govt.
- A cost-of-living index is a theoretical price index that measures relative cost of living over time or regions.
- It is an index that measures differences in the price of goods and services, and allows for substitutions with other items as prices vary.

10 Section 8 - Procedure for fixing and revising minimum wages

- In fixing minimum rates of wages for the first time or in revising minimum rates of the wages, appropriate Government shall either:
 - **Appoint** as many **committees** as it considers necessary to hold enquiries and recommend in respect of such fixation or revision
 - **By notification**, publish its proposals for the information of persons likely to be affected and specify a date **not less than 2 months** from the date of the notification on which the proposals shall be taken into consideration
- Every committee appointed by the appropriate Government shall consist of persons:
 - Representing employers
 - Representing employees (Equal to number of employers representing)
 - **Independent persons, not exceeding 1/3rd** of the total members of the committee
- After considering the recommendation of the committee,
 - The appropriate Government shall, by notification **fix or revise the minimum rates of wages** and **unless** such notification otherwise provides, it shall come into force on the **expiry of 3 months** from the date of its issue
 - **However**, where the appropriate Government proposes to revise the minimum rates of wages it shall also consult concerned **Advisory Board constituted**
- The **appropriate Government** shall review or revise minimum rates of wages ordinarily at an interval **not exceeding 5 years**



11 Section 9 - Power of Central Government to fix floor wage

- The **Central Government** shall **fix floor wage** taking into account **minimum living standards** of a worker
 - However, different floor wage may be fixed for different **geographical areas**
- The **minimum rates** of wages fixed by the appropriate Government
 - Shall **not be less than the floor wage** and
 - If the **minimum rates of wages** fixed by the appropriate Government earlier is **more** than the floor wage, then, the **appropriate Government** shall **not reduce** such minimum rates of wages fixed by it earlier
- The Central Government may, **before fixing the floor wage** obtain the **advice** of the:
 - **Central Advisory Board**
 - And **consult** State Governments in such manner as may be prescribed

12 Section 10 - Wages of employee who works for less than normal working day

- If an employee whose **minimum rate of wages** has been fixed
 - And he **works** on any day for a period of **less than the requisite number of hours** constituting a normal working day,
 - He **shall be entitled** to receive **wages** in respect of work done on that day, as if he had worked for a **full normal working day**:
 - **However**, he shall **not be entitled** to receive **wages** for a full normal working day:
 - Where his failure to work is caused by his **unwillingness to work** and not by the omission of the employer to provide him with work
 - in such other cases and circumstances, as may be prescribed

13 Section 12 - Minimum time rate wages for piece work

- Where a person is employed on piece work for which minimum time rate and not a minimum piece rate has been fixed:
 - The employer shall pay to such person wages at **not less than the minimum time rate**

14 Section 11 - Wages for Two Or More Classes of Work

- For an employee doing multiple classes of work with different minimum wage rates, the employer must pay based on the time spent in each class

15 Section 13 - Fixing hours of work for normal working day

- Where the minimum rates of wages have been fixed, the **appropriate Government** may:
 - **Fix the number of hours of work** which shall constitute a normal working day inclusive of one or more specified intervals
 - Provide for a **day of rest** in **every period of 7 days** which shall be allowed to all employees or to any specified class of employees and for the payment of remuneration in respect of such days of rest
 - Provide for **payment for work on a day of rest** at a rate not less than the overtime rate

Section 13 - Fixed hours Provisions may not Apply to?

Employees handling unforeseen or unpreventable emergencies.

Employees doing preparatory or complementary work outside normal working limits

employees whose employment is essentially intermittent;

Employees in work that must be finished before the duty ends for technical reasons

Employees in work dependent on irregular action of natural forces

16 Section 14 - Wages for overtime work

- Where an employee whose minimum rate of wages has been fixed by the **hour**, by the **day** or by such a longer wage-period as may be prescribed, **works on any day in excess** of the number of hours constituting a normal working day,
 - The employer shall pay him for **every hour** or **for part of an hour** so worked in excess, at the **overtime rate** which shall not be less than **twice the normal rate of wages**

17 Comparative analysis of Provisions under Chapter II

Provision	Earlier Act/Repealed Act	Code on Wages, 2019	Key Change
Payment of Minimum Wages (Sec. 5)	Minimum wages applicable only to scheduled employments under the Minimum Wages Act.	Minimum wages applicable to all employees .	Universal applicability of minimum wages.
Fixation of Minimum Wages (Sec. 6)	Different minimum wage rates could be fixed for adults, adolescents,	No such distinction; references to scheduled employment removed.	Uniform approach to minimum wage fixation.

	children, and apprentices.		
Components of Minimum Wages (Sec. 7)	Linked to scheduled employments.	References to scheduled employment omitted.	No major change except wider applicability.
Procedure for Fixing & Revising Minimum Wages (Sec. 8)	Based on scheduled employments.	References to scheduled employment omitted.	No substantive change.
Floor Wage (Sec. 9)	No statutory provision for a national floor wage.	Central Government to fix a Floor Wage ; State minimum wages cannot be lower than it.	Introduces a nationwide wage benchmark.
Hours of Work for Normal Working Day (Sec. 13)	Applicable to scheduled employments.	References to scheduled employment omitted.	No substantive change.
Overtime Wages (Sec. 14)	Referred to Section 59 of the Factories Act, 1948.	Omission of such reference.	Code becomes self-contained; Factories Act replaced by OSHWC Code, 2020.

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Chapter I: Preliminary

Chapter II: Minimum Wages

Chapter III: Payment of Wages

Chapter IV: Payment of Bonus

Chapter V: Advisory Board

Chapter VI: Payment of Dues, Claims and Audit

Chapter VII: Inspector-cum-Facilitator

Chapter VIII: Offences and Penalties

Chapter IX: Miscellaneous

18 Section 15 - Mode of payment of wages

- All wages shall be paid in:
 - Current coin or
 - Currency notes or
 - By cheque or
 - By crediting the wages in the bank account of the employee or
 - By the electronic mode
- However, the **appropriate Government** may, specify the **industrial or other establishment**, the employer of which shall pay to every person employed, the **wages** only by:
 - Cheque or
 - by crediting the wages in his bank account

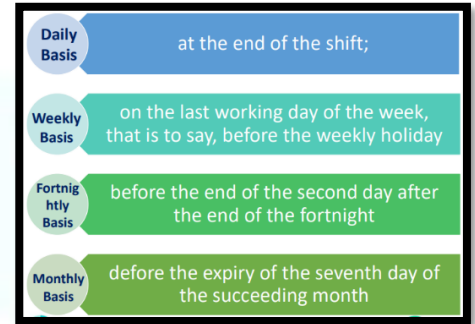
19 Section 16 - Fixation of wage period

- The **employer** shall **fix** the **wage period** for employees either as **daily or weekly or fortnightly or monthly** subject to the condition that no wage period in respect of any employee **shall be more than a month**
 - However, **different wage periods** may be fixed for different establishments

20 Section 17 - Time limit for payment of wages

- The employer shall pay wages to the employees, engaged on:

- **Daily basis**, at the **end** of the **shift**
- **Weekly basis**, on the **last working day** of the week, that is to say, before the weekly holiday
- **Fortnightly basis**, before the end of the **2nd day** after the **end** of the **fortnight**
- **Monthly basis**, before the expiry of the **7th day** of the succeeding month



➤ Where an employee has been:

- **Removed** or **dismissed** from service
- **Retrenched** or has **resigned** from service, or became **unemployed** due to closure of the establishment
 - the wages payable to him shall be paid **within 2 working days** of his **removal, dismissal, retrenchment, resignation**

21 Section 18 - Deductions which may be made from wages

- Despite anything contained in any other law for the time being in force, **there shall be no deductions** from the wages of the employee, except those as are authorised under this Code
- For the purposes of this:
 - Any payment made by an **employee to the employer** or his **agent** shall be deemed to be a deduction from his wages
 - any **loss of wages** to an employee, resulting from:
 - withholding of increment or promotion, including the stoppage of an increment
 - reduction to a lower post or time-scale
 - suspension
 - **Shall not be deemed to be a deduction from wages**
- Deductions from the wages of an employee shall be made in accordance with the provisions of this Code, and may be made only for the following purposes, namely:

Fines imposed on him

Deductions for his **absence** from duty

Deductions for **damage** to or **loss of goods** expressly entrusted to the employee for custody

Deductions for **house-accommodation** supplied by the employer

Deductions for such **amenities and services supplied by the employer** as the appropriate Government or any officer specified by it in this behalf may, by general or special order, authorise and such deduction shall not exceed an amount equivalent to the value of such amenities and services

Deductions for recovery of

Advances of whatever nature (including advances for travelling allowance or conveyance allowance), and the interest due

Loans made from any fund constituted for the welfare of labour

Deductions for recovery of loans granted for **house-building**

Deductions of **income-tax** or any other statutory levy levied

Deductions for subscription to, and for **repayment of advances** from any social security fund

Deductions for payment of **co-operative society**

Deductions made, with the written authorisation of the employee, for **payment of the fees and contribution** payable by him for the membership of any Trade Union

Deductions for **recovery of losses** sustained by the railway administration on account of acceptance by the employee of counterfeit or base coins or mutilated or forged currency notes

Deductions for recovery of losses sustained by the **railway administration** on account of the **failure** of the **employee** to **invoice**, to **bill**, to **collect** or to **account** for the appropriate charges due to the railway administration

Deductions for recovery of losses sustained by the **railway administration** on account of any rebates or **refunds** incorrectly granted by the employee

Deductions, made with the written authorisation of the employee, for contribution to the **Prime Minister's National Relief Fund**

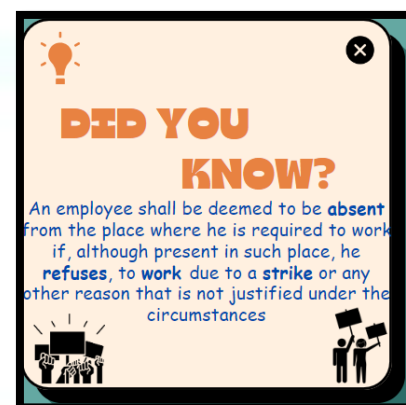
- The **total amount of deductions** which may be made in any wage period from the wages of an employee **shall not exceed 50% of such wages**
- Employees are not liable if the employer fails to deposit deductions into required trust, Govt fund, or other accounts

22 Section 19 – Fines

- No fine shall be imposed on any employee for acts and omissions unless the employer, has **previous approval** of the **appropriate Government** or of such **authority**
- A **notice** specifying **such acts and omissions** shall be **exhibited** in such manner as may be prescribed, on the **premises** in which the employment is carried on
- The **total amount of fine** which may be imposed in any one wage-period on any employee **shall not exceed an amount equal to 3% of the wages payable** to him in respect of that wage-period
- No **fine** shall be **imposed** on any **employee** who is **under** the age of **15 years**
- No fine imposed on any employee shall be recovered from him by installments or after the **expiry of 90 days** from the day on which it was imposed
- Every **fine** shall be deemed to have been **imposed** on the **day of the act or omission** in respect of which it was imposed

23 Section 20 - Deductions for absence from duty

- Deductions may be made only on account of the absence of an employee from the place or places where by the terms of his employment, he is required to work, such absence being for the **whole or any part of the period** during which he is so required to work
 - If **10 or more employed persons** acting in concert **absent themselves without** due **notice** and without **reasonable cause**,
 - Such deduction from any such person may include such **amount not exceeding his wages for 8 days**



24 Section 21 - Deductions for damage or loss

- A deduction for damage or loss **shall not exceed** the amount of the damage or loss caused to the employer by negligence or default of the employee

25 Section 25 - Chapter not to apply to Govt establishments

- The provisions of this Chapter will **not apply to Govt establishments by default**.
- However, the **appropriate Govt. can apply these provisions** to specific Govt. establishments by issuing an **official notification**.

26 Comparative analysis of Provisions under Chapter III

Provision	Repealed Act	Code on Wages, 2019	Key Change
Fixation of Wage Period (Sec. 16)	Payment of Wages Act did not provide flexibility to fix different wage periods for different establishments.	Employer can fix different wage periods for different establishments.	Greater flexibility to employers.
Time Limit for Payment of Wages (Sec. 17)	Wages to be paid within 7 days where employees were less than 1,000; within 10 days in other establishments.	Uniform time limit for wage payment irrespective of number of employees.	Uniformity in wage payment timelines.
Payment on Working Day	Wages (except on termination) had to	No such requirement.	Recognizes electronic payments operating 24x7.

	be paid on a working day.		
Reduction to Lower Stage in Time Scale	Not treated as deduction from wages.	Treated as deduction from wages.	Expanded scope of wage deductions.
Income Tax & Other Statutory Levies	Deduction allowed only for income tax (TDS).	Deduction allowed for income tax and any other statutory levy payable by employee.	Broader deduction provisions.
Provident Fund & Similar Funds	Deduction allowed for statutory/recognized provident funds.	Deduction allowed for any social security fund/scheme including PF, pension fund, health insurance, etc.	Wider social security coverage.
Insurance Schemes of Post Office	Deduction permitted.	No such deduction permitted.	Provision omitted.
LIC Premiums, Government Securities, Post Office Savings Schemes	Deduction permitted with employee's written authorization.	No such deduction permitted.	Provision omitted.
Welfare Fund/Trade Union Fund Contributions	Deduction permitted with employee's authorization.	Covered under contributions to social security funds.	Shifted to broader social security framework.
Fidelity Guarantee Bond Premiums	Deduction permitted.	No such deduction permitted.	Provision omitted.
Maximum Permissible Deductions (Sec. 18)	Up to 75% of wages in certain cases.	Maximum deduction limited to 50% of wages.	Greater protection to employees.

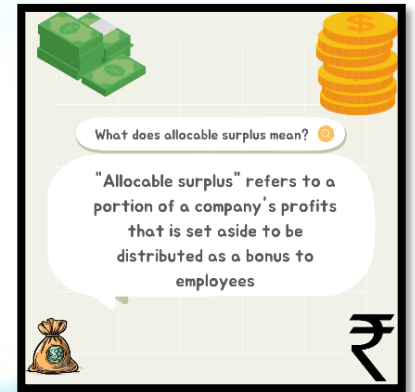
Employer's Failure to Deposit Deducted Amounts	No specific provision.	Employee not liable if employer fails to deposit deducted amounts into trust/government fund.	Employee protection introduced.
Fines (Sec. 19)	Explanation allowed common staff welfare fund under same management.	Explanation omitted.	Provision removed.
Government Establishments (Sec. 25)	No corresponding provision.	Chapter specifically not applicable to Government establishments.	New provision introduced.

The Code on Wages, 2019
Chapter I: Preliminary
Chapter II: Minimum Wages
Chapter III: Payment of Wages
Chapter IV: Payment of Bonus
Chapter V: Advisory Board
Chapter VI: Payment of Dues, Claims and Audit
Chapter VII: Inspector-cum-Facilitator
Chapter VIII: Offences and Penalties
Chapter IX: Miscellaneous

27 Section 26 - Eligibility for bonus, etc

- Every employee shall be paid, drawing wages not exceeding such amount per mensem (Month), as determined, by the appropriate Government, by his employer, who has put in **at least 30 days work** in an **accounting year**,

- An **annual minimum bonus** calculated at the rate of eight and one-third per cent (**equivalent to 8.33%**) of the **wages** earned by the employee **or ₹100**, whichever is higher whether or not the employer has any allocable surplus during the previous accounting year
- If in any accounting year, the **allocable surplus exceeds** the **amount of minimum bonus payable to the employees**,
 - The employer **shall be bound to pay to every employee** in respect of that accounting year, **bonus** which shall be an amount in **proportion to the wages earned** by the employee during the accounting year, **subject to a maximum of 20% of such wages**
 - **Any demand for bonus in excess** of the bonus mentioned above, either on the basis of production or productivity in an accounting year for which the bonus is payable
 - shall be determined by an **agreement or settlement between the employer and the employees**,
 - Subject to the condition that the **total bonus** including the annual minimum bonus mentioned above **shall not exceed 20% of the wages** earned by the employee in the accounting year
- In the **1st five accounting years** following the accounting year in which the employer sells the goods produced or manufactured by him or renders services from such establishment,
 - **Bonus shall be payable only** in respect of the **accounting year** in which the employer **derives profit** from such establishment



Trial Production Not Counted

- trial running of a factory,
- prospecting stage of a mine, or
- oil-field testing stage,

will not be treated as normal sale for calculating bonus applicability.

Applicability to New Branches or Departments

- new departments,
- undertakings, or
- branches started by existing establishments.

The provisions relating to new establishments will also apply, as far as possible, to

28 Section 27 - Proportionate reduction in bonus in certain cases

- Where an **employee** has **not worked for all the working days** in an **accounting year**, the **minimum bonus**,
 - if such bonus is higher than **eight and one third per cent (is equivalent to 8.33%)** of the salary or wage of the days such employee has worked in that accounting year, shall be **proportionately reduced**
 - **Working days** include days an employee is deemed to have worked, as per establishment rules for that accounting year.

29 Section 28 - Computation of number of working days

- An employee shall be deemed to have worked in an establishment in any accounting year also on the days on which
 - **He has been laid off** under an agreement or as permitted by standing orders under the Industrial Employment (Standing Orders) Act, 1946 or under the Industrial Disputes Act, 1947 or under any other law applicable to the establishment
 - He has been on **leave** with salary or wages
 - He has been **absent** due to **temporary disablement** caused by accident in the course of his employment
 - The employee has been on **maternity leave** with salary or wages, during the accounting year

30 Section 29 - Disqualification for bonus

- An employee shall be disqualified from receiving bonus, if he is dismissed from service for:
 - **Fraud**
 - **Riotous or violent behaviour** while on the premises of the establishment
 - **Theft, misappropriation or sabotage** of any property of the establishment
 - Conviction for **sexual harassment**



Despite anything stated elsewhere in the Code,
an employee **will not** be entitled to receive a **bonus**
if they are dismissed from service for
any of the following reasons:



Fraud



Riotous or
violent behavior
at the workplace



Theft,
misappropriation,
or sabotage of
the employer's
property



Conviction for
sexual
harassment



31 Section 30 - Establishments to include departments, undertakings and branches

General Rule: Treated as One Establishment

- If an establishment has:
- different departments,
- undertakings, or
- branches,
- whether located in the same place or different places, all of them will normally be treated as one establishment for calculating bonus under this Code.

Exception: Separate Accounts Maintained

- A department, undertaking, or branch will be treated as a separate establishment for a particular accounting year if:
- it maintains a separate balance sheet, and
- it maintains a separate profit and loss account.

Condition: Earlier Treatment as Part of Main Establishment

- Even if separate accounts are maintained, the department, undertaking, or branch will continue to be treated as part of the main establishment if, before that accounting year, it was already treated as part of the same establishment for bonus calculation purposes.

32 Section 31 - Payment of bonus out of allocable surplus

- The **bonus** shall be paid out of the **allocable surplus**
 - which shall be an **amount equal to 60%** in case of a **banking company** and
 - **67%** in case of other establishment, of the available surplus

33 Section 32 - Computation of gross profits

- **In Case of a Banking Company and Other Establishments**, gross profits may be calculated in the manner prescribed by the Central Government.

34 Section 33 - Computation of available surplus

- **Gross profits earned by an employer during an accounting year will be calculated as follows**

The available surplus for an accounting year means:



In short: **Available surplus** = Gross profits of that year minus the **deductions mentioned in Section 34**.

Additional Calculation for Later Accounting Years



For accounting years starting after the commencement of this Code, available surplus will include:

1

Gross Profits After Deductions



Gross profits of the accounting year **minus** deductions under Section 34.

2

Adjustment Related to Direct Tax

An additional amount equal to the difference between:

(a)

Tax Before Deducting Bonus



Direct tax calculated on the gross profits of the previous accounting year.

(b)

Tax After Deducting Bonus



Direct tax calculated on the previous year's gross profits after deducting the bonus paid or payable to employees.

Available surplus is basically the amount left from profits after permitted deductions and certain tax adjustments, which is used for calculating bonus payable to employees.

35 Section 34 - Sums deductible from gross profits

The following amounts are deducted from gross profits before calculating bonus. These are called prior charges.

1. Depreciation

Depreciation allowed under the Income-tax Act, or under the applicable Agricultural Income-tax law, will be deducted from gross profits.

2. Direct Taxes

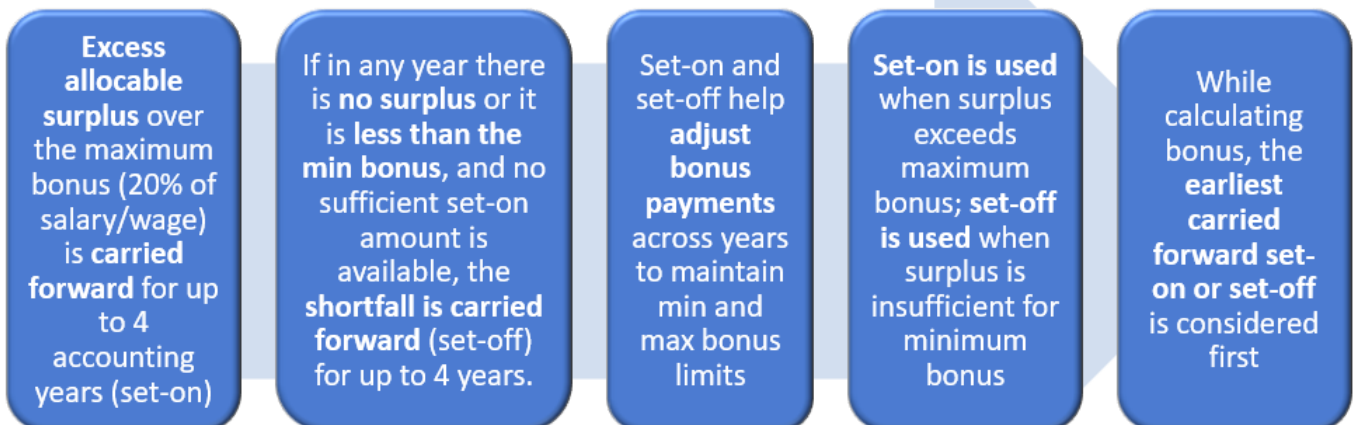
Direct taxes payable by the employer for that accounting year on income, profits, and gains will also be deducted, subject to the provisions of Section 35.

3. Other Prescribed Deductions

Any other amounts prescribed by the Central Government can also be deducted.

36 Section 36 - Set on and set off of allocable surplus

- Where for any accounting year, the **allocable surplus exceeds** the **amount of maximum bonus payable** to the employees in the establishment
 - Then, the **excess shall**, subject to a **limit of 20%** of the **total salary or wage** of the employees employed in the establishment in that accounting year, be carried forward for being set on in the succeeding accounting year and so on up to and inclusive of the fourth accounting year to be utilised for the purpose of payment of bonus
- Where for any accounting year, there is **no available surplus** or the **allocable surplus** in respect of that year falls short of the amount of minimum bonus payable to the employees in the establishment and there is no amount or sufficient amount carried forward and set on under which could be utilised for the purpose of payment of the minimum bonus,
 - Then, such **minimum amount** or the **deficiency**, shall be carried forward for being set off in the succeeding accounting year and so on up to and inclusive of the fourth accounting year



Set-On and Set-Off are valid only for 4 years,
so unused balances expire after 4 years.

EduTap

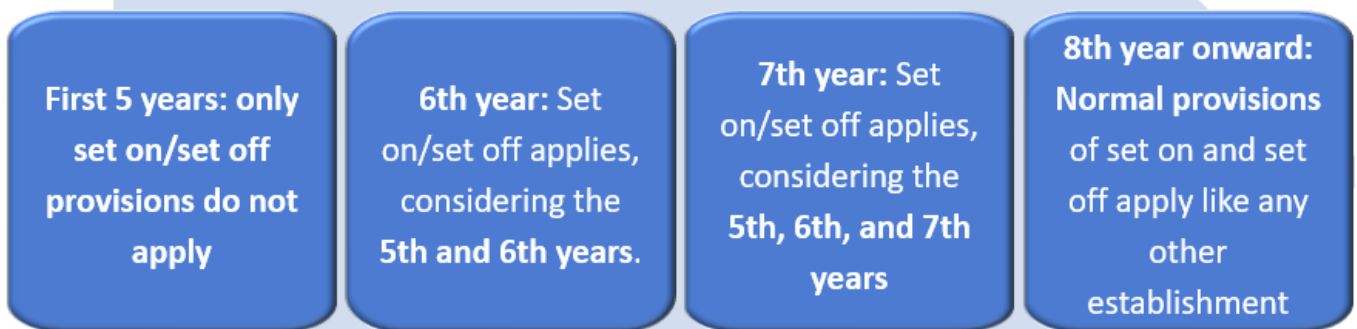
Assume:

- Total salary/wages of employees = ₹10,00,000 per year
- Therefore:
 - Minimum bonus (8.33%) = ₹83,300
 - Maximum bonus (20%) = ₹2,00,000

Year 1: Surplus = ₹2,50,000 ▪ Maximum bonus payable = ₹2,00,000 ▪ Surplus = ₹2,50,000 → Extra = ₹50,000 ▪ ₹2,00,000 paid as bonus, ₹50,000 carried forward as Set On.	Year 4: Surplus = ₹1,50,000 ▪ Maximum bonus = ₹2,00,000 ▪ Surplus < maximum but > minimum, so pay as per surplus ▪ First adjust Set Off from Year 3 (₹56,600) After adjustment, balance available = ₹93,400 for bonus Bonus = ₹93,400
Year 2: Surplus = ₹60,000 ▪ Required minimum bonus = ₹83,300 ▪ But only ₹60,000 surplus available → short by ₹23,300 ▪ Use ₹23,300 from Set On (Year 1's ₹50,000). ▪ Bonus paid = ₹83,300 ▪ Balance carried forward from Year 1 Set On = ₹26,700.	Year 5: Surplus = ₹3,00,000 ▪ Maximum bonus = ₹2,00,000 ▪ So, ₹2,00,000 paid ▪ Extra = ₹1,00,000 carried forward as Set On (usable for next 4 years).
Year 3: Surplus = ₹0 (loss year) ▪ Still, minimum bonus = ₹83,300 payable ▪ Use Set On (₹26,700 left) ▪ Still short = ₹56,600 ▪ This deficit = Set Off, carried forward to next 4 years.	Thumb rule 1. Set On = Extra profit kept aside (when surplus > 20%) 2. Set Off = Deficit carried forward (when surplus < 8.33%) 3. Can be carried for 4 years max 4. Oldest balance used first

37 Section 26 Contd. - Special Provisions with respect to Certain establishments

Employees of newly established establishments are entitled to bonus payments as per the provisions applicable to new setups which include -



An employer will be considered to have earned profit only if:

(a) Depreciation is Provided
proper depreciation under tax laws has been deducted.

(b) Previous Losses are Adjusted
earlier losses and depreciation arrears have been fully adjusted against profits.

38 Section 37 - Customary and Interim Bonus

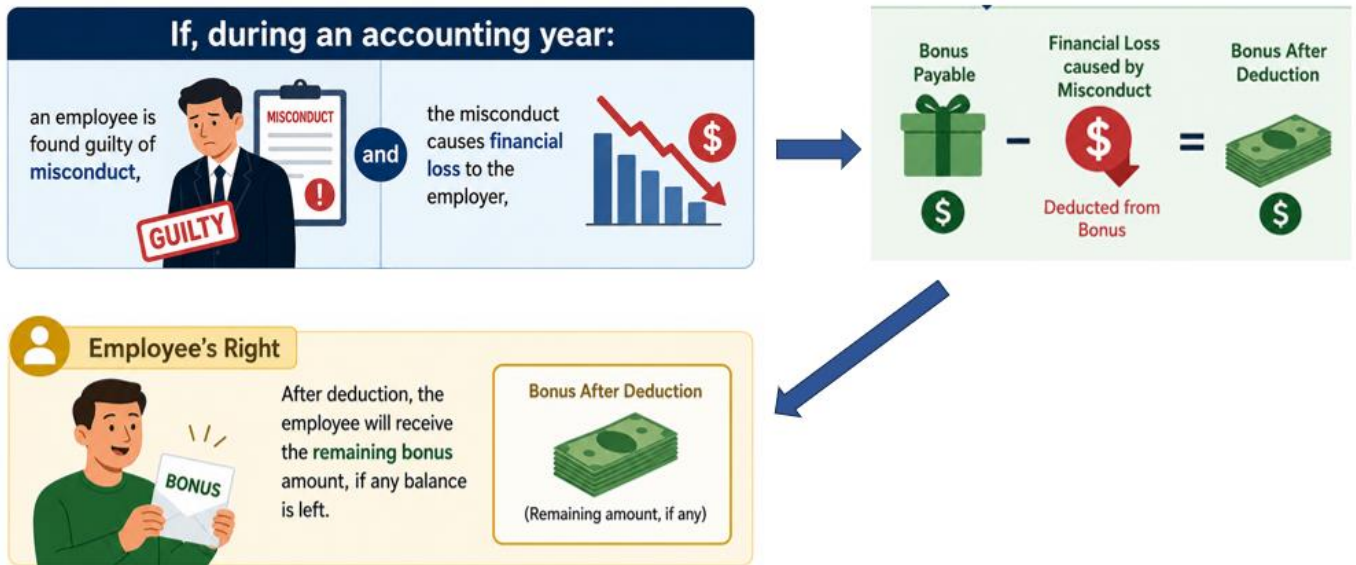
If an employer pays **puja bonus** or any other **customary bonus** during the accounting year

The employee will be entitled to receive **only the remaining balance** of the bonus for that year

if the employer pays **part of the statutory bonus in advance**, before it becomes due

Then, such amounts can be **deducted** from the bonus payable under the Payment of Bonus Act

39 Section 38 - Deduction of certain amounts from bonus payable



40 Section 39 - Time limit for payment of bonus

- All amounts payable to an employee by way of bonus shall be paid by:
 - **Crediting it in the bank account** of the employee by his employer within a period of **8 months** from the close of the accounting year
 - However, the **appropriate Government** or such **authority** upon an application made to it by the employer and for sufficient reasons, by order, **extend the said period of 8 months** to such further period or periods,
 - However, that the total period so extended **shall not in any case exceed 2 years**
- Where there is a **dispute** regarding **payment of bonus** pending before any authority, such bonus shall be paid, **within a period of 1 month** from the date on which the **award becomes enforceable** or the settlement comes into operation
 - However, if there is a **dispute for payment at the higher rate**, the employer shall pay **eight and one-third per cent (equivalent to 8.33%)** of the wages earned by the employee within a period of **8 months** from the close of the accounting year

41 Section 40 - Application of Bonus Provisions in Public Sector

- If a public sector establishment sells goods or services in competition with the private sector and earns at least 20% of its gross income from such sales, bonus provisions apply to it.

42 Section 41 - Non-applicability of payment of Bonus

Payment of Bonus does not apply to:

Employees employed by the **Life Insurance Corporation of India**

Seamen as defined in the Merchant Shipping Act, 1958

Employees registered or listed under any scheme made under the **Dock Workers** (Regulation of Employment) Act, 1948 and employed by registered or listed employers

Employees employed by an **establishment** under the authority of any department of the **Central Government** or a **State Government** or a local authority

Employees employed by

(i) the **Indian Red Cross Society** or any other institution of a like nature including its branches

(ii) **universities** and other educational institutions

(iii) institutions including **hospitals, chamber of commerce and social welfare institutions** established not for purposes of profit

Employees employed by the **Reserve Bank of India**

Employees employed by **public sector financial institution** other than a banking company, which the Central Government may, by notification, specify, having regard to

(i) its capital structure

(ii) its objectives and the nature of its activities

(iii) the nature and extent of financial assistance or any concession given to it by the Government

(iv) any other relevant factor

Employees employed by **inland water transport establishments** operating on routes passing through any other country

Non Applicability of Bonus (Sub Section - 2)

Subject to sub-section (1),

- the provisions of this Chapter will apply to every establishment where: 20 or more persons are employed, or 20 or more persons were employed on any day during the accounting year,
- regardless of anything stated elsewhere in this Chapter.

43 Comparative analysis of Provisions under Chapter IV

Provision	Repealed Act	Code on Wages, 2019	Key Change
Minimum Bonus (Sec. 26)	Minimum bonus: 8.33% of wages or ₹100 , whichever higher; separate reference for employees below 15 years.	Minimum bonus: 8.33% of wages or ₹100 , whichever higher, irrespective of age.	Uniform treatment of all employees.
Eligibility Wage Ceiling for Bonus	Wage limit specified in the Act and amended from time to time.	Appropriate Government empowered to prescribe wage ceiling.	Greater flexibility through delegated legislation.

Terminology of Bonus	Term used: "Minimum Bonus".	Term used: "Annual Minimum Bonus".	Change in nomenclature.
Disqualification for Bonus (Sec. 29)	No specific provision regarding sexual harassment conviction.	Employee convicted for sexual harassment is disqualified from bonus.	New ground for disqualification introduced.
Payment of Bonus out of Allocable Surplus (Sec. 31)	Payment of Bonus Act provided finality of balance sheet only for banking companies.	Section 31(2) provides for finality of balance sheets of companies.	New provision introduced.
Computation of Gross Profit (Sec. 32)	Gross profit calculated as per First Schedule (banking companies) and Second Schedule (other establishments).	Gross profit to be computed in the manner prescribed by Rules notified by the Central Government.	Schedules replaced by Rules.
Deduction of Investment Allowance, Development Rebate and Development Allowance (Sec. 34)	Such deductions were allowed from gross profits.	No deduction permitted for these items.	Deduction provisions omitted as redundant.
Deduction of Depreciation and Direct Tax (Sec. 34)	Depreciation and direct tax payable were deductible from gross profits.	Depreciation and direct tax continue to be deductible as prior charges.	No substantial change.
Other Deductions from Gross Profit (Sec. 34)	Further deductions specified in the	Further deductions to be prescribed through Rules.	Third Schedule replaced by Rules.

	Third Schedule of the Payment of Bonus Act.		
Set-on and Set-off (Sec. 35)	Method prescribed in the Fourth Schedule of the Payment of Bonus Act.	Method to be prescribed by Rules.	Fourth Schedule replaced by Rules.
Mode of Payment of Bonus (Sec. 39)	Bonus payable in cash.	Bonus to be credited to employee's bank account.	Digital mode of payment introduced.
Definitions for Public and Private Sector Establishments (Sec. 40)	Definitions of “establishment in private sector” and “establishment in public sector” provided.	Definitions omitted.	Important definitions removed.
Applicability to Establishments Employing 10–19 Persons (Sec. 41)	Appropriate Government could extend bonus provisions to establishments employing 10–19 persons.	No such power provided.	Government's extension power omitted.
Applicability After Employee Strength Falls Below Threshold	Once applicable, Act continued to apply even if employee strength fell below 20.	No corresponding provision.	Continuity provision omitted.
Exemption for Financially Weak Establishments	Appropriate Government could exempt establishments considering financial position	No such provision.	Exemption power omitted.

	and public interest.		
Exemption for Establishments Having Profit-Sharing Schemes (Sec. 41(1))	No similar provision.	Government may exempt employees of specified establishments enjoying overall benefits under profit-sharing schemes.	New exemption provision introduced.

The Code on Wages, 2019
Chapter I: Preliminary
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Chapter VIII: Offences and Penalties
Chapter IX: Miscellaneous

44 Section 42 - Central Advisory Board and State Advisory Boards

- The Central Government shall constitute the **Central Advisory Board** which shall consist of **persons** to be **nominated** by the Central Government
 - **1/3rd of the members** shall be **women** and a **member** specified as the **independent members** shall be **appointed** by the **Central Government** as the Chairperson of the Board
- **Functions of Central Advisory Board:**
 - The **Central Advisory Board** constituted shall advise the Central Government on reference of issues relating to:
 - **Fixation or revision of minimum wages** and other connected matters
 - Providing increasing **employment opportunities** for **women**
 - The extent to which **women may be employed** in such establishments or employments as the Central Government may specify

- **any other matter** relating to this Code

The **Central Govt** shall constitute the **Central Advisory Board** which shall consist of persons to be nominated by the Central Govt

(a) representing employers

(b) representing employees which shall be equal in number of the members specified in clause (a)

(c) independent persons, not exceeding 1/3rd of the total members of the Board

(d) five representatives of such State Govts as may be nominated by the Central Govt.

(e) One third of the members of the board should be women

(f) The CG will select the chairperson of the board from among the independent members of the board

➤ **Functions of State Advisory Board:**

- Every **State Government** shall constitute a **State Advisory Board** for advising the State Government
 - in **fixation** or **revision** of **minimum wages** and other connected matters
 - for the purpose of providing **increasing employment opportunities** for **women**
 - with regard to the extent to which **women** may be **employed** in such establishments or employments as the State Government may, by notification, specify
 - in any other matter relating to this Code

➤ The **State Advisory Board** may constitute **one or more committees or sub-committees** to look into issues pertaining to matters specified above

➤ The **State Advisory Board** and each of the **committees** and **sub-committees** shall consist of persons:

- **1/3rd of the members** shall be **women** and one among the members specified as the independent members shall be
 - Appointed by the **State Government** as the **Chairperson** of the Board
 - Appointed by the **State Advisory Board** as the **Chairperson** of the committee or subcommittee

The **State Govt** shall constitute the **state Advisory Board** which shall consist of persons to be nominated by the state Govt

(a) representing employers:

1

When Amounts Cannot Be Paid to Employee

If any amount payable under this Code cannot be paid because:

- the employee died before receiving payment, or
- the employee's whereabouts are unknown,

then the payment will be handled as follows.



Employee died before receiving payment

OR



Employee's whereabouts are unknown

45 Section 43 - Responsibility for payment of various dues

- Every employer shall pay all **amounts** required to be paid to every employee employed by him
 - However, where such **employer fails to make such payment** then, the company or firm or association or any other person who is the **proprietor (Owner)** of the establishment, in which the employee is employed, **shall be responsible for such payment**

Employers must pay all amounts owed under the Code to their employees.

If the employer fails to pay, the company, firm, association, or proprietor of the establishment is responsible for the payment.

In case of an employee's death, dues are paid to their nominee

46 Section 44 - Payment of various undisbursed dues in case of death of employee

If any dispute arises between an employer and employees regarding

- Bonus Related Matters
- fixation of bonus, or
- eligibility for payment of bonus under this Code

- Applicability to Public Sector Establishments
- whether the bonus provisions of this Code apply to a public sector establishment

Then, such dispute will be treated as an industrial dispute under the Industrial Disputes Act, 1947

2

Payment to Nominee

If the employee had nominated a person under the rules:

- ▶ the amount will be paid to that nominee.



3

When No Nominee Exists

If:

- no nomination was made, or
- payment cannot be made to the nominee,

then:

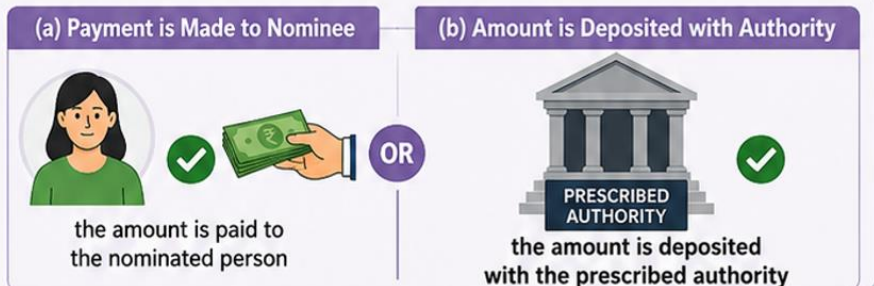
- ▶ the amount will be deposited with the prescribed authority, and that authority will deal with the amount according to prescribed rules.



4

Employer's Liability Ends

The employer will no longer be responsible for payment once:



Once either of the above actions is completed, the employer's liability in respect of the payment comes to an end.



47 Section 45 - Claims under Code and procedure thereof

- The appropriate Government may, by notification, appoint **one or more authorities**, not below the rank of a Gazetted Officer, to hear and determine the claims
- The authority appointed, while deciding the claim, may order:
 - the payment of compensation in addition to the claim determined, which may **extend to 10 times of the claim** determined and endeavour shall be made by the authority to **decide the claim within a period of 3 months**
- If an employer fails to pay the claim determined and compensation ordered to be paid,
 - the **authority shall issue a certificate of recovery** to the **Collector or District Magistrate** of the district where the establishment is located
 - who shall recover the same as arrears of land revenue and remit the same to the authority for payment to the concerned employee
- Any **application before the authority** for claim may be filed by:
 - the **employee concerned**
 - **any Trade Union** registered under the Trade Unions Act, 1926 of which the employee is a member

- the **Inspector-cum-Facilitator**
- The application may be filed **within a period of 3 years** from the date on which claims arises

48 Section 46 - Reference of disputes under this Code

Any application before the authority for claim may be filed by

- the employee concerned
 - any Trade Union registered under the Trade Unions Act, 1926 of which the employee is a member
- the Inspector-cum-Facilitator.

The application may be filed **within a period of three years** from the date on which claims arises.

The appointed authority will have the powers of a civil court.

49 Section 49 - Appeal

1. Right to Appeal

Any person who is dissatisfied with an order passed under Section 45(2) can file an appeal before the appellate authority appointed by the appropriate Government.

Time Limit

The appeal must be filed within 90 days from the date of the order.

Delay in Filing

The appellate authority may allow a late appeal if there is a sufficient reason for the delay.

2. Appointment of Appellate Authority

The appellate authority will be an officer of the appropriate Government.

The officer must be at least one rank higher than the authority under Section 45(1).

3. Disposal of Appeal

The appellate authority will hear both parties before deciding the appeal.

Efforts should be made to dispose of the appeal within 3 months.

4. Recovery of Outstanding Dues

If any amount remains unpaid under the appellate authority's order:

the authority under Section 45 will recover it

by issuing a recovery certificate in the prescribed manner.

50 Section 50 - Records, Returns and Notice

Employers must maintain a register with details of employees, muster roll, wages, and other prescribed information.

Employers must display a notice at the establishment with the Code's abstract, wage rates, wage period, payment details, and Inspector-cum-Facilitator's name and address.

Employers must issue wage slips to employees in the prescribed form and manner.

These provisions do not apply to employers with five or fewer employees for agriculture or domestic purposes.

51 Section 51 - Appointment of Inspector-cum-Facilitators and their powers

- The appropriate Government may, **appoint Inspector-cum-Facilitators** who shall exercise the following powers:

The Inspector-cum-Facilitator may:

Advice to employers and workers relating to **compliance** with the provisions of this Code

Inspect the establishments as assigned to him by the appropriate Government

Examine any person who is found in premises of the establishment, whom the Inspector-cum-Facilitator has reasonable cause to believe, is a worker of the establishment

Require any person to give any information, which is in his power to give with respect to the names and addresses of the persons

Search, seize or take copies of such **register, record of wages or notices** or portions thereof as the Inspector cum-Facilitator may consider relevant in respect of an offence under this Code and which the Inspector-cum Facilitator has reason to believe has been committed by the employer

Bring to the **notice** of the appropriate Government **defects or abuses** not covered by any law for the time being in force

Q. Which of the following Act is not subsumed under The Code on Wages, 2019?

- A. The Equal Remuneration Act, 1976
- B. The Minimum Wages Act, 1948
- C. The Payment of Bonus Act, 1965
- D. The Factories Act, 1948

Ans: D

Q. As per The Code on Wages, 2019, the appropriate Government shall review or revise minimum rates of wages ordinarily at an interval not exceeding how many years?

- A. 2 years
- B. 3 years
- C. 5 years
- D. 7 years

Ans: C

52 Comparative analysis of Provisions under Chapter V, VI and VII

Provision	Repealed Act	Code on Wages, 2019	Key Change
Central and State Advisory Boards (Sec. 42)	Advisory Boards coordinated work of committees/sub-committees and advised Governments on wage fixation and revision.	Roles of Advisory Boards recast; coordination function removed; Central Board primarily advises Central Government.	Functions significantly restructured.
Role of Central Advisory Board	Advised both Central and State Governments and coordinated State Advisory Boards.	No role in coordinating State Boards or advising State Governments.	Reduced scope of authority.
Responsibility for Payment of Wages (Sec. 43)	Min. Wages Act contained specific provisions for employers in factories, railways, contractors, etc.	Every employer is responsible for payment of wages.	Simplified and uniform responsibility.

Time Limit for Filing Claims (Sec. 45)	Claim for dues had to be filed within 6 months .	Time limit increased to 3 years .	More time for workers to claim dues.
Appeal Against Authority's Decision (Sec. 45 & 49)	Decision of Authority under Minimum Wages Act was final.	Appeal against Authority's decision is allowed.	Introduces appellate remedy.
Appellate Authority (Sec. 49)	Appeals under Payment of Wages Act lay before Small Causes Court/District Court.	Appeals lie before the prescribed appellate authority.	Streamlined appeal mechanism.
Pre-deposit Requirement for Appeal (Sec. 49)	Employer had to deposit the awarded amount before appeal could be entertained.	No such pre-deposit requirement.	Easier access to appeal.
Reference to High Court (Sec. 49)	Appellate Court could refer questions of law to the High Court.	No such provision.	Simplified appellate process.
References to Scheduled Employment (Sec. 50)	Minimum Wages Act repeatedly referred to "scheduled employment."	References omitted.	Broader and uniform application of wage provisions.
Exemption for Small Employers (Sec. 50)	No exemption for employers with up to 5 workers in agriculture/domestic work.	Exemption provided to such employers.	Reduced compliance burden on small employers.
Inspector-cum-Facilitator (Sec. 51)	Appointment of Inspectors only.	Inspectors replaced by Inspector-cum-Facilitators.	Shift from enforcement to facilitation and guidance.
Web-based Inspection Scheme (Sec. 51)	No such provision.	Web-based inspection system introduced.	Greater transparency and reduced arbitrariness.

Chapter I: Preliminary

Chapter II: Minimum Wages

Chapter III: Payment of Wages

Chapter IV: Payment of Bonus

Chapter V: Advisory Board

Chapter VI: Payment of Dues, Claims and Audit

Chapter VII: Inspector-cum-Facilitator

Chapter VIII: Offences and Penalties

Chapter IX: Miscellaneous

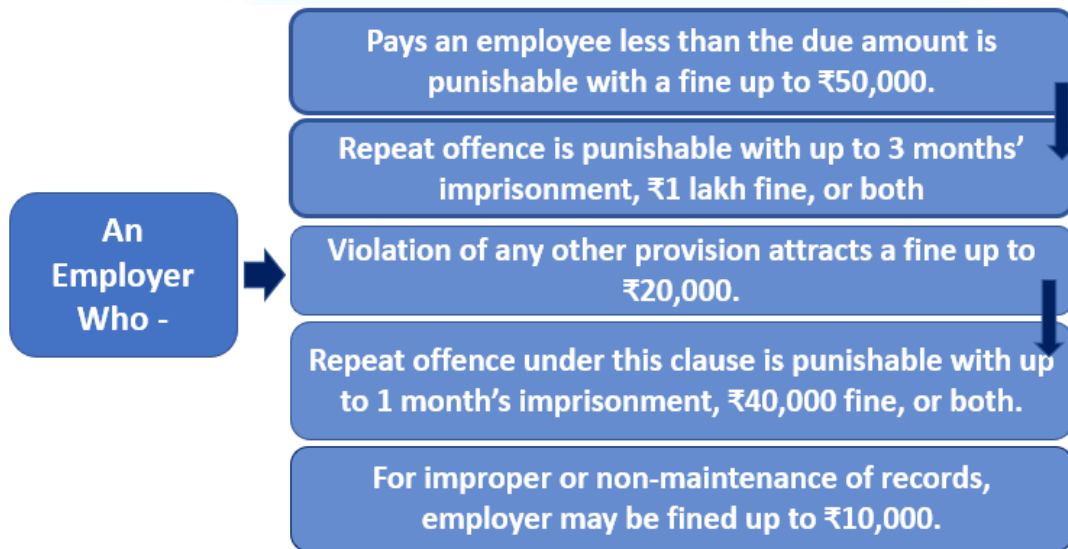
53 Section 52 – Cognizance of Offence

No court inferior to that of a **Metropolitan Magistrate or Judicial Magistrate** of the first class shall try the offences under this Code.

54 Section 53 - Power of officers of appropriate Government to impose penalty in certain cases

- The appropriate Govt may appoint any officer **not below the rank of Under Secretary** to the GoI or an officer of equivalent rank in the State Govt, for holding enquiry in such manner, as may be prescribed by the Central Govt.
- While holding the enquiry, they shall **have the power to summon**.
- If the officer is satisfied that the person has committed any offence he **may impose such penalty**.

55 Section 54 - Penalties for Offences



56 Section 55 - Offences by Companies

Offences by Companies

If a company commits an offence, those in charge and responsible for its conduct are also deemed guilty.

Such persons are not liable if they prove lack of knowledge or due diligence to prevent the offence.

57 Section 58 Protection of Action taken In Good Faith

No legal action can be taken against the govt or its officers for anything done or intended to be done in good faith under this Code.



58 Section 59 Burden of Proof

If an employee complains about:

- Non-payment of wages/bonus
- Less payment
- Illegal deductions

Then employer must prove that payment was correctly made.

59 Section 60 Contracting out

If an employee signs any agreement to **give up wages or bonus**, it is **not valid** if it reduces the employer's responsibility.

60 Section 65 - Power of Central Government to Give Directions

The Central Govt may, for carrying into execution of the provisions of this Code in the State **give directions to the State Govt**, and the State Govt shall abide by such directions.

61 Section 66 – Saving (Protected Laws)

Nothing contained in this Code shall be deemed to affect the provisions of the Mahatma Gandhi National Rural Employment Guarantee Act, 2005 and the Coal Mines Provident Fund and Miscellaneous Provisions Act, 1948, or of any scheme made thereunder.

62 Section 67 - Power of Appropriate Government to Make Rules

62.1 General Rule-Making Power

- Appropriate Government (**Central/State**) can **make rules** to implement the Code
- Must follow **previous publication** (draft rules published before finalization)

62.2 Specific Areas for Rule-Making (Key Heads)

62.2.1 Wages & Minimum Wages

- Method of **calculating wages**
- Factors like **arduous nature of work**
- Norms for fixing **minimum wages**
- Rules for **wage period**

62.2.2 Working Conditions & Payment

- Cases where **full day wage not payable**
- Conditions for **certain classes of employees**
- Rules for **longer wage period**

62.2.3 Deductions & Recovery

- Procedure for:
 - **Loan recovery**
 - **Advances recovery**
 - **Damage/loss deductions**

- Interest on loans
- Recovery of **excess payments**

62.2.4 Fines & Penalties

- Approval authority for fines
- Procedure for imposing fines
- Maintenance of **registers for fines**

62.2.5 Registers & Records

- **Forms for:**
 - Wage registers
 - Deduction registers
 - Wage slips
- Maintenance of records by employer

62.2.6 Claims, Appeals & Administration

- **Forms for:**
 - Applications (multiple employees)
 - Appeals
- Deposit of **undisbursed dues**

62.2.7 Inspector-cum-Facilitator

- Powers and functions to be specified

62.2.8 Advisory Boards

- Procedure of functioning
- Terms of office of members

62.2.9 Other Matters

- Any matter required to be **prescribed under the Code**

62.3 Additional Powers of Central Government

- Fixing **floor wage**
- Consultation with States
- **Rules on:**
 - Bonus (set on/set off)
 - Calculation of gross profit
 - Allocable surplus
- Conduct of **enquiry**

62.4 Parliamentary / Legislative Control

62.4.1 Central Rules

- Must be placed before **Parliament (30 days)**
- **Parliament can:**
 - Modify OR
 - Reject rules

62.4.2 State Rules

- Must be placed before **State Legislature**

63 Section 66 – Saving (Protected Laws)

Nothing contained in this Code shall be deemed to affect the provisions of the Mahatma Gandhi National Rural Employment Guarantee Act, 2005 and the Coal Mines Provident Fund and Miscellaneous Provisions Act, 1948, or of any scheme made thereunder.

64 Section 69 - Repeal and savings

1 ACTS REPEALED

The following Acts are repealed by this Code:



- the Payment of Wages Act, 1936,
- the Minimum Wages Act, 1948,
- the Payment of Bonus Act, 1965, and
- the Equal Remuneration Act, 1976.

2 ACTIONS TAKEN UNDER OLD LAWS WILL CONTINUE

Even after repeal:

- ✓ anything done,
- ✎ any action taken,
- 🔔 notifications,
- 👤 appointments,
- 📋 orders,
- ➕ directions, or
- ₹ wage amounts fixed

under the old Acts will continue to **remain valid** under the corresponding provisions of this Code.

CONDITION

They will continue only if they are:

- ✓ not inconsistent with this Code, and
- ✓ and until they are replaced or repealed under this Code or by notification of the Central Government.



3

APPLICATION OF GENERAL CLAUSES ACT, 1897



The provisions of Section 6 of the **General Clauses Act, 1897** will also apply to these repeals.



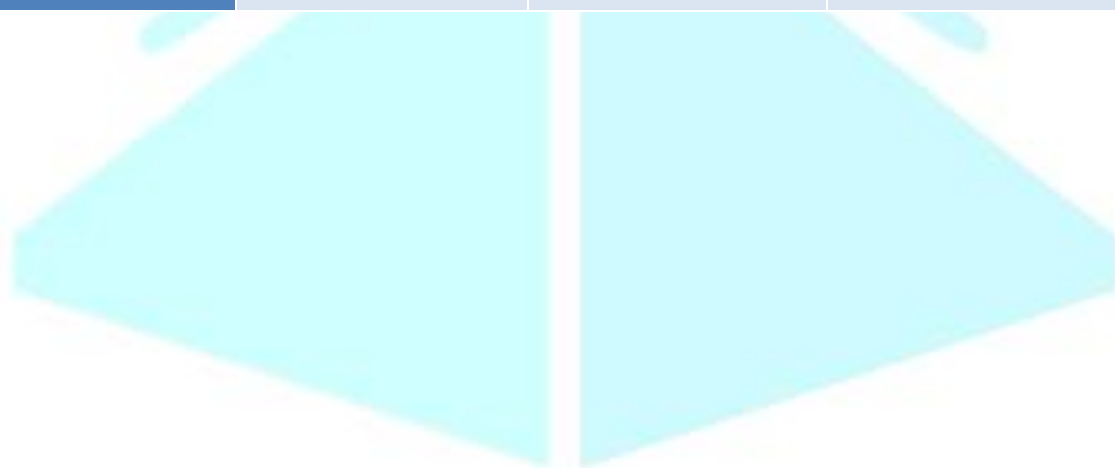
65 Comparative analysis of Provisions under Chapter VIII and IX

Provision	Repealed Act	Code on Wages, 2019	Key Change
Complaint by Trade Union/Employee (Sec. 52)	Courts could not take cognizance based on complaint by Trade Union or employee.	Complaint by registered Trade Union or employee permitted.	Improves access to justice for workers.
Time Limit for Criminal Complaints (Sec. 52)	Time limits existed for filing complaints.	No time limit prescribed.	Greater flexibility in prosecution of offences.
Power to Impose Penalty (Sec. 53)	No corresponding provision.	Appropriate Govt officers empowered to impose penalties in certain cases.	New administrative enforcement mechanism.
Penalties for Offences (Sec. 54)	Compensation awarded under Minimum Wages Act had to be considered while imposing fine.	Compensation awarded by authority is not required to be considered while imposing fine.	Greater discretion to courts in imposing fines.
Variation in Penalties (Sec. 54)	Same punishment prescribed irrespective of gravity of offence.	Fine varies based on gravity of violation and repeat offences.	Graded penalty structure introduced.

Opportunity to Rectify Contraventions (Sec. 54)	No provision for rectification before prosecution.	Employer gets an opportunity to rectify contraventions (except non-payment of dues) before prosecution.	Compliance-oriented approach.
Punishment for Record Maintenance Offences (Sec. 54)	Non-maintenance of records punishable with fine, imprisonment, or both.	Punishable with fine only.	Reduced penal consequences.
Offences by Companies (Sec. 55)	LLPs were not specifically included within the definition of company.	Definition of company includes LLPs.	Expanded scope of corporate liability.
Composition of Offences (Sec. 56)	No provision for compounding of offences.	Introduces compounding of specified offences.	New mechanism for settlement of offences.
Compoundable Offences (Sec. 56)	No corresponding provision.	Only offences not punishable with imprisonment can be compounded on payment of 50% of maximum fine.	Defines eligibility and compounding amount.
Compounding for Repeat Offences (Sec. 56)	No corresponding provision.	Similar offences compounded within the previous 5 years cannot be	Discourages repeat violations.

		compounded again.	
Burden of Proof (Sec. 59)	No corresponding provision.	Employer must prove payment of wages/bonus where a claim is filed.	Shifts burden of proof to employer.
Contracting Out (Sec. 60)	Limited to minimum wages and unauthorized deductions under respective Acts.	Covers all amounts payable under the Code, including wages and bonus.	Wider protection against waiver of statutory rights.
Scope of Contracting Out Provision (Sec. 60)	Expressly applied to agreements made before or after commencement of the Act.	Such express wording is absent.	Potentially narrower temporal applicability.
Effect of Inconsistent Laws/Agreements (Sec. 61)	Payment of Bonus Act's overriding provision applied only to bonus.	Applies to all amounts payable under the Code.	Broader overriding effect.
Delegation of Powers (Sec. 62)	Similar provision existed only under the Payment of Wages Act.	Delegation of powers expressly provided.	Uniform delegation framework.
Exemption of Employer from Liability (Sec. 63)	Similar provision existed only under the Minimum Wages Act.	Employer may be exempted from liability in specified cases.	Provision extended under the Code.

Scope of Employer Exemption (Sec. 63)	Relief available mainly for minimum wage-related offences.	Relief extends to offences relating to wages, bonus, and gender non-discrimination.	Wider scope of protection.
Protection Against Attachment of Assets (Sec. 64)	Similar provisions existed in Minimum Wages Act and Payment of Wages Act only.	Continues protection against attachment of employer assets held by Government.	Consolidates existing protections.
Saving Clause (Sec. 66)	No corresponding consolidated provision.	Code does not affect MNREGA, 2005 and Coal Mines Provident Fund Act, 1948.	Express protection for specified laws.



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